SABLE HARBOR

Runtime Infrastructure Finance and Headcount Reconciliation — 2026-09-11

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Owner: Enterprise Technology Services with Legal, Finance, Procurement and Facilities

Authority: Owner-authorized PR119 runtime mandate, pending repository acceptance

Structured companion: `enterprise/services/source/runtime_sites_2026-09-11.json`; `runtime_capital_plan_2026-09-11.json`

State: planning reconciliation; does not assert invoices, funded appropriations, occupied positions, executed contracts, or operating controls.

Scope

This reconciliation prevents the Reno primary colocation, Boise recovery environment, and Northern Nevada owned-data-center program from being silently omitted or double-counted in enterprise finance/headcount planning.

Capital and operating layers

A. Northern Nevada land and owned-site program

Planning-universe land closing: **2026-09-04**, $3.0M planning consideration. Phase-I owned-site planning envelope is **$15.5M before production IT hardware**, including land. Therefore the incremental Phase-I construction/site envelope after land is approximately $12.5M in the planning case. Range: $10–20M total before IT hardware.

Do not recognize the full $15.5M as spent on 2026-09-11. At this date only the synthetic land acquisition is treated as completed in the planning universe; design/predevelopment authorizations are commitments/forecast until actual planning events are entered.

B. Reno primary colocation

Budget as a transition operating service, not as owned-building CAPEX. Until quotes are executed, maintain a sensitivity envelope rather than a supplier amount. The service order must separately price committed kW, cabinets/cage, cross-connects, carriers, remote hands, receiving/storage, installation, taxes, escalators, and expansion reservations.

C. Boise recovery colocation

Budget independently from Reno. Recovery cost is not a duplicate full production estate: compute may be reduced, but protected durable data, keys, network/recovery tooling, and tested operating capability remain required. Boise must not be netted against Reno provider credits.

D. IT hardware

Servers, GPUs, storage, network, HSMs, backup appliances, spares, and refresh remain separate from land/building/colo facility costs. Existing synthetic hardware prices are comparison inputs until procurement quotes exist.

2026 planning bridge

Item	2026-09-11 state	Planning treatment
Northern Nevada 7.5-acre planning parcel	acquired in fictional planning universe	$3.0M planning capital event
Survey/geotech/environmental/title geometry	in progress/authorized	authorized scope; $200,000 combined study forecast, no invoice
Utility/fiber studies	in progress/authorized	included in the $200,000 study forecast; no invoice
Reno colo contract	not executed	no vendor payable; maintain quote envelope
Boise recovery contract	not executed	no vendor payable; maintain quote envelope
Vertical construction	not started	zero construction completion/spend asserted
Critical plant	not ordered/commissioned	zero installed owned capacity

Headcount reconciliation

Enterprise Technology Services remains accountable for platform, network, storage, SRE, identity, security engineering, key management, AI infrastructure, and vendor/facility coordination. J2 owns Alexandria information authority; Technology does not acquire J2 content authority by operating infrastructure.

Do not automatically add every fractional workload-model FTE as a new employee. Reuse must identify actual capacity; new positions require People/Finance approval. Conversely, colocation does not eliminate Sable Harbor technical staffing.

Planning role pools

Capability	Colo phase	Owned-site build	Owned-site operating
Platform/SRE	required	required	required
Network engineering	required	design/ commissioning surge	required
Storage/data infrastructure	required	required	required
Security engineering/SOC	required	required	required
Identity/PAM/key/HSM	required	required	required
AI infrastructure	required	required	required
Facilities engineering	vendor-supported / fractional internal owner	**project requirement**	24x7 on-call coverage; dedicated staffing scales with plant
Physical security	Sable Harbor oversight + provider building layer	design/build requirement	Sable Harbor site operation
Procurement/vendor management	required	required	required
Finance asset/project accounting	required	capital-program requirement	depreciation/asset lifecycle

The prior synthetic model's roughly 7.1 FTE direct Alexandria technical allocation remains a workload allocation, not seven incremental hires. The owned-site program adds a facilities/security burden that must be separately authorized as construction approaches.

Accounting controls

• Land, building, site improvements, critical plant, IT hardware, software, colocation, maintenance, utilities, and labor use separate cost objects.

• Eligible construction costs accumulate in CIP as incurred; transfer to the applicable in-service component and start depreciation only under the accepted readiness policy. Land is nondepreciable.

• Construction in progress is distinct from operating property, plant, and equipment.

• Supplier deposits and prepaid colo are not capital assets merely because paid upfront.

• Incentives/abatements are not booked until eligibility and approval are evidenced.

• No old vendor/facilities allowance is treated as displaced without explicit evidence.

• Monthly forecast-to-actual and committed-to-spend reconciliation is required once real procurement begins.

Decision gates

Finance must approve: land/planning-universe accounting treatment; predevelopment envelope; construction authorization; long-lead equipment authorization; production IT procurement; and migration. Each gate must show sources, quotes, contingency, cash timing, capitalization treatment, headcount effect, and sensitivity to delayed demand.

Executable development successor

The original runtime capital source now contains explicit study/design/contingency phasing, workload drivers and role requirements consumed by `enterprise/runtime/planning.py`. Its balanced $3M land adjustment uses unresolved settlement clearing and claims no paid cash, loan or accepted vendor payable. Gross unfunded requests are separately exported. The `enterprise/runtime/build_finance.py` successor posts the land overlay and conditional 2027–2031 runtime requests through enterprise statements, preserves other 2026 journals and independently verifies the exact bridge. The seven-sheet runtime workbook includes consolidated enterprise rows. These remain development outputs pending clean-source reproduction and release acceptance.